

Establishing an Analytics Center of Excellence



Premise

❑ Goal:

- Build an organic capability for delivering corporate business intelligence.

❑ Enabler:

- Create a center of excellence for analytics to deliver agility in business decision making using a solid foundation of analytics and reporting across the company.

Why Should Companies Build a COE ?

- ✓ No consistency in functional and corporate reporting
 - What is truth & why do we have different versions ?
- ✓ What is being measured is not always what is important
 - Everyone is collecting metrics, but we can't see the picture ?
- ✓ Difficult to get a current snapshot of the business
 - Lots of reporting all over the company, but it doesn't aggregate easily nor does it provide a consolidated story
- ✓ Inconsistent standards for defining the calculations used in analysis and the tolerances used to ensure accuracy
 - Each functional area defines their own calcs w/o leveraging reuse of existing calcs, which complicates quality control and testing. Further, we are constantly re-certifying the same calcs and control points throughout the company.
- ✓ Costs are excessive
 - We're spending more and more cycles (human & machine) to deliver more metrics and reports (and some areas are just starting to ramp up)

Where should we start ?

- This will take 1-2 years to bootstrap from scratch, but the long-term payoff will more than cover the upfront and ongoing operational costs.
- You may want to position this team within the business operations (reporting to the COO).
- Realizing that most companies may not have these resources in-house, you may want to consider partnering with a local university to establish a core competency.

How do we build a COE for analytics ?

- Let's approach this in a progressive manner using a 3-step approach:
 - Step 1:
 - Conduct a thorough analysis of our existing state of analytics and assess the risks, costs and define the opportunity for improving the quality and agility around analytics and decision making throughout the company.
 - Step 2:
 - Build (via acquisition and/or reassignment) a team of statisticians with an actuarial lead and charter them to define and build an analytics framework
 - Step 3:
 - Create a clearinghouse for analytics to ensure that all analytics used in the capture, warehousing, extraction, aggregation, and presentation of information are properly governed, approved, and tested to accelerate decision making (speed) and guide more accurate decisions (quality).

Structure for the Analytics COE Team

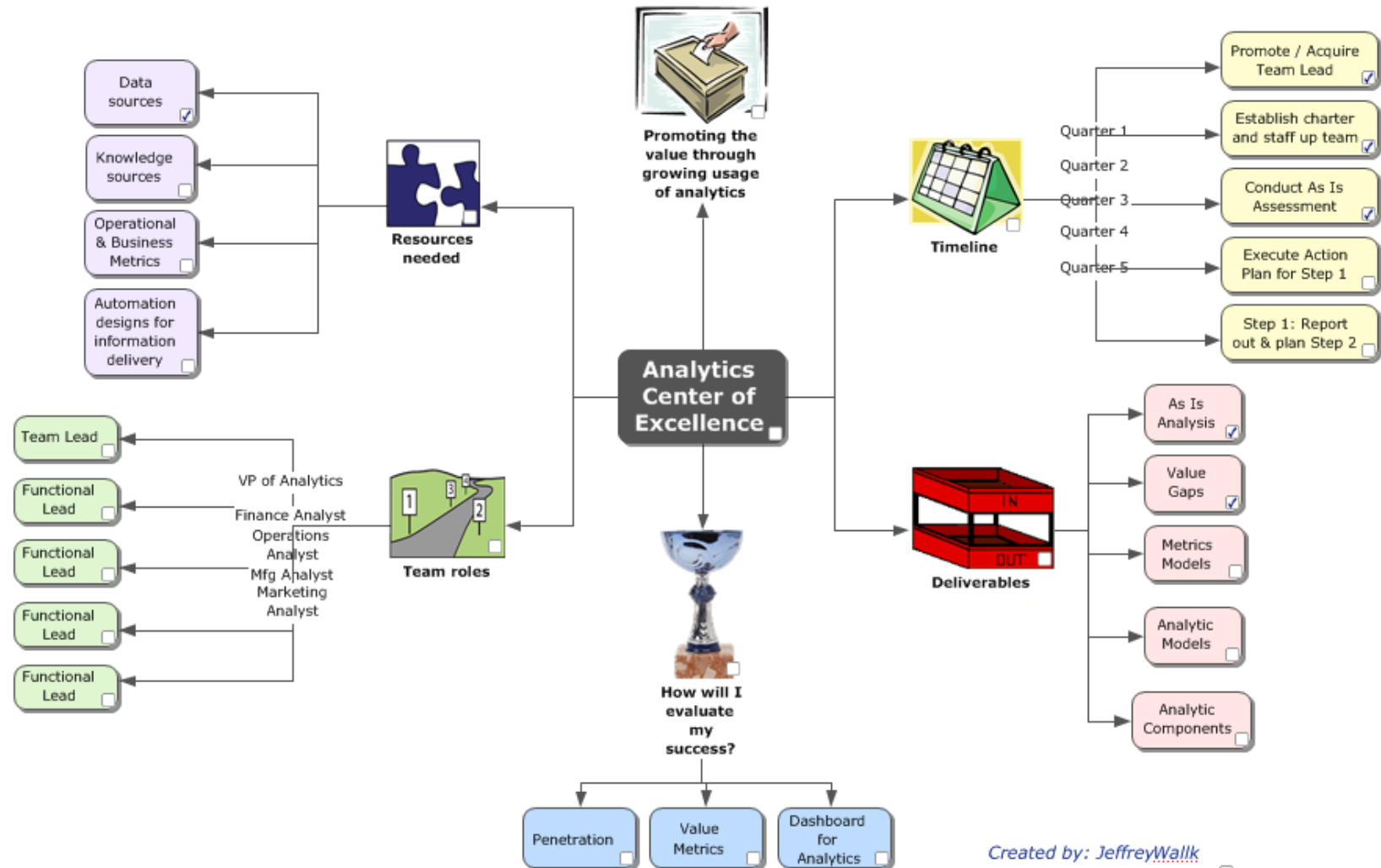
- The COE will be headed up by an expert in analytics (typically this is a VP level). This person will have deep functional and technical experience with statistics, aggregation and help drive innovation in how we approach metrics and reporting. This is a dedicated full time hire for the COE.
- Support staff for the COE can be fielded from amongst existing functional staff from across the company.
 - To conserve dollars up front, they can be allocated to the COE on a part-time basis (dottedline reporting) to assist the VP of Analytics in defining standards, providing education, building an analytics framework and providing consulting.
 - Eventually, these part-time folks may take on more responsibilities as the value proposition grows for the Analytics COE.

Positioning the Analytics COE

- The COE will be staffed with existing employees across the functional areas & business units in the company.
- The COE will define and build analytic models for functional areas to leverage for their individual reporting needs.
- The COE will define and build corporate analytic models to support cross-functional analysis and aggregate reporting needs.
- The COE will assist support teams in all future data investigations (where analytics are involved)
- The COE will work closely with executive mgmt, Business Unit heads and functional heads to ensure we...

measure the right stuff, the right way, using the right calculations.

Getting Started



What's the plan for Phase 1 ?

- We're assuming the project will last for a duration of 3 months:
 - Month 1: Document current state of analytics
 - Month 2: Document a future state for analytics & reporting
 - Month 3: Document a roadmap for implementing an analytics framework to support agile decision-making throughout the company.

What are the deliverables from Step 1 ?

- Overview of Issues, Risks & Gaps with current state of analytics and reporting across the company
- Future state for analytics framework
- Architecture blueprint for delivering the framework
- Roadmap and high level implementation plan
- Business Case for Phase 2 (solution implementation)

What are the benefits ?

- ❖ We will (for the first time) have a complete set of requirements for addressing the enterprise's collaboration needs across all domains so that we can implement a solution that provides sustainable value going forward. ***(Moves us towards sustainability).***
- ❖ With the right tools in place we should not have to continue pursuing point solutions in the future. As our needs change, the solution will adapt to meet those needs. ***(Moves us towards adaptability and extensibility).***
- ❖ We will be able to eliminate a considerable amount of overhead in maintaining and lost productivity by consolidating a plethora of tools. ***(Move us towards simplicity).***
- ❖ The future solution will greatly improve our ability to implement change to meet business needs in a timely fashion. ***(Moves us towards agility).***



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